

Project Work: Knowledge Engineering

In this project, your task is to develop a system for detecting fraud in credit card transactions. The goal is to apply the principles of knowledge representation and reasoning.

Organizational Information:

- You may work on the project in a team of 2 or alone
- Briefly document your solution in a PDF document: describe the decisions you made during the problem-solving process. In addition to the report, you must provide all files required to build the knowledge base. If necessary, also include a file with test cases (e.g., queries).
- The first submission deadline is **15th of June 2026**

Initial scenario:

Every payment made with a credit (or debit) card is stored as a transaction in the billing system of the bank that issued the credit card. A transaction contains and refers to a lot of data. In this project, we want to focus on the following data:

- the payment amount
- the date and time of the payment
- the cardholder; here, we are only interested in
 - the name and
 - the country where the cardholder resides
- the merchant; here we are interested in
 - the name,
 - the country where the merchant is based, and
 - the type of service we used (online store, physical store)

The billing system is supported by a knowledge-based system designed to detect fraudulent transactions. It operates on a risk-based approach: it calculates a risk score for each transaction. If this score exceeds a certain threshold (e.g., 100), the transaction is either stopped or—in cases of particularly high risk of 150 or higher—even declined. A stopped transaction must be verified by a human.

Task 1: Decision Modelling

a) Create a DMN model that detects fraudulent transactions. To calculate the risk score of a transaction, the following rules are initially applied in this project:

- If the credit card is used in Africa, the risk score increases by 60 points. In Europe, the risk score is 20. For Italy, it is 10.
- If the cardholder is based in Italy, the risk score is not increased. However, if the cardholder is based in another European country, the risk score is increased by 10 points. An African user is assigned 20 risk points.
- If a Swiss person uses the credit card in South Africa, the risk value immediately increases by 30 points
- The amount also plays a role in determining the risk score. If the amount is
 - less than €1,000, the risk score is increased by 10 points;
 - up to €10,000, the risk score is increased by 60 points,
 - above €10,000, the risk score is increased by 90 points.
- A transaction is stopped, if the risk score more than 100 points and declined if it is more than 150 points

Create a decision model that contains sub-decisions, i.e., a decision whose result is used as input for the main decision.

You can test with the following scenarios: A transaction by Mr. Mensoni from Italy, who purchases an expensive wooden mask in a physical store called “World of Africa” in South Africa for €11,234. Or Mr. Meyer from Germany, who pays for a meal worth €12 at the restaurant “Winds of the Deserts” in Morocco.

Mr Suter from Switzerland pays a meal in the restaurant “Mama Africa” in South Africa for € 90.



Task 2

The rules are now being expanded. Additionally, the following applies

- If the credit card is used in a physical store in two different countries within a 5-minute time difference, then the risk value is at least 150.

Example: Mr. Mensoni's credit card is used 3 minutes after the purchase of the wooden mask at the restaurant "Winds of the Deserts" in Morocco for a meal costing 500 CHF.

For representing the time you can use a time stamp, which is a number, which gives the time in seconds starting with 0 on 1st of January 1970.

- a) Consider how you can extend your decision model from Task 1 to incorporate the additional rules. If you have a solution, create it and submit it; however, if you believe there is no solution, explain why!
- b) This project uses a terminology that includes the most important terms and the relationships between them. To make the following tasks easier for you, create an ontology that defines the terms as concepts, relationships as "properties," and data as instances.
- c) Create a knowledge base in Prolog that detects fraudulent transactions with all the criteria mentioned up to now.
Consider what information about the transaction and its stakeholders must be represented and what are suitable predicates to represent the information.
Formulate appropriate queries.

